

May 2012
RE: AER-xxxx

Dear Prof. xxxxx,

I have completed my report of “xxxxxx.”

Given the impressive data set that the authors have at their disposal, they certainly seem to be in a position to make significant contributions to this literature.

Unfortunately, there are several aspects of the results that raise serious concerns about the conclusions that can be drawn from the analysis. Perhaps most striking is the fact that women’s job losses have a significant impact the probability of having a birth three years prior to displacement. This estimated impact is just as large as the estimated impact one year after a job loss despite the fact that earnings have not yet begun to fall from their expected levels (see Column 4 of Table 3 and the upper half of Figure 5).

Moreover, the estimates also tend to suggest that being displaced is associated with an increased probability of being employed three years prior to displacement. This is pretty clear evidence of selection—in particular, individuals who tend to be more likely to be employed are more likely to be displaced. I discuss other issues in my report but these are my primary reasons for recommending rejection.

Sincerely,
Jason Lindo
University of Oregon, NBER, and IZA